

Federal Maritime Commission

MAVL Capital, et al.

v.

MARINE TRANSPORT LOGISTICS, INC.,
DIMITRY ALPER

Docket No. 16-16

BRIEF BY MTL IN OPPOSITION

I. WHETHER MTL IS A REGULATED ENTITY WITH RESPECT TO THE SUBJECT VEHICLES

The Commission determined that, “Whether the [cargo] was actually transported to a foreign port or the subject of a contract to do so is highly relevant to this analysis, but not necessarily determinative.” Docket Entry #58, page 11.

There is no dispute that the subject vehicles were not exported before Complainants abandoned such vehicles. There likewise can be no question as to the fact that no express or implied contract for transport to a foreign port existed due to indefiniteness and lack of consideration. Mr. Ostrovskiy did not pay for outstanding storage and did not specify how long the vehicle would be in storage while he purportedly organized repairs that never materialized. “A Contract is unenforceable for vagueness when its terms are too indefinite to allow a court to ascertain with reasonable certainty what each party has promised to do.” *Lo Bosco v. Kure Engineering Ltd.*, 891 F.Supp. 1020, 1025 (D.N.J. 1995).

As to the Porsche, there is absolutely no evidence as to what Mr. Ostrovskiy intended; his Certification is silent on this issue. There is no evidence that Mr. Ostrovskiy intended to export this vehicle.

Even if it is determined that MTL was acting as a regulated entity with respect to the Mercedes initially in November of 2012, it is submitted that when Complainants abandoned the subject Mercedes, any shipping aspect of the transaction involving MTL and the Complainants was over.

II. COMPLAINANTS ABANDONED THE SUBJECT VEHICLES

In his Certification, Mr. Ostrovskiy claims as to the Mercedes: “On or about December 3, 2012, Complainants explained to MTL that the Mercedes was to be shipped back to Germany by respondents on a date to be determined by Complainants after Complainants could inspect said vehicle and order custom made repair parts.” *See* Docket Entry #9, page 16, ¶10. Where is there any evidence that Mr. Ostrovskiy made any efforts to repair this vehicle? There is no such evidence because he abandoned this vehicle. His own proposed finding of fact, at ¶29 says: “Mr. Ostrovskiy never requested that anyone perform any repairs on his cars anywhere, including Dubai.” This means that he lied to MTL. What is more shocking is that Mr. Ostrovskiy admits in ¶114 of his own proposed fact that he sold the subject Porsche for \$67,000 to a third party, even though he did not have possession of this vehicle at the time of sale and never repaired it. This was a vehicle with a salvage title and Mr. Ostrovskiy sold it to a third party for such a sum even though he had no possession of such and had made no efforts to repair such. There is no evidence that Mr. Ostrovskiy refunded this money to a third party, and now Mr. Ostrovskiy is seeking from the Federal Maritime Commission to order reparations from MTL. In ¶115 of his

own proposed finding of fact, Mr. Ostrovskiy says he refunded this money, but he does not attach any proof of this; he just points to the provision of the contract that would require him to pay this money back.

This is exactly why other individuals who Mr. Ostrovskiy defrauded are looking for him for the exact same scheme. For example, one such individual is Mr. Sobolev who states: “Based on failed business transaction with Mr. Ostrovskiy, I can strongly confirm that his business models involves usage of funds from his clients for the products that are not in his inventory.” *See Docket Entry #60, page 36.*

The allegations regarding the Mercedes begin when (as described below) the Complainants abandoned the Mercedes, so they claim the car was converted. It is submitted that MTL’s Proposed Findings of Fact and documents filed under Docket Entry #60 establish that Mr. Ostrovskiy had no intention of paying for any services or repairing the subject Mercedes or paying for any outstanding storage. He was completely nonresponsive. Why is there not a single email from any of Mr. Ostrovskiy’s email accounts evidencing his desire to pay for storage, repair the vehicles or even ship such overseas?

Even Mr. Ostrovskiy’s Certification is silent on this point; he only states: “On or about June 1, 2013, I visited MTL’s storage site to obtain possession of the vehicle to visually inspect it prior to export back to Germany through MTL, and MTL refused to offer any explanation as to the whereabouts of the vehicle.” (Docket Entry #9, page 16, ¶13). It is noteworthy that Mr. Ostrovskiy states in general terms that he visited the storage site; he does not mention who he spoke with and what was discussed. Furthermore, this statement makes no sense because as we see from Mr. Ostrovskiy’s own statement of proposed fact #29, he had not conducted any repairs

on any of the subject vehicle so there was no need to inspect the vehicle prior to any export back to Germany as Mr. Ostrovskiy's purported plan was to repair and then ship.

In ¶31 of their Verified Complaint, Mr. Ostrovskiy claims that "respondents unlawfully converted" the subject Mercedes. As argued above, there was no conversion, but rather abandonment by the Complainants. If abandonment is established, if somebody leaves property on the yard without compensation for storage, then MTL should not be a regulated entity with respect to such property indefinitely as at that point there is no privity and different parties to the transaction may be involved, the transaction which does not involve shipping, such as simply disposing of the property as junk.

As stated above, the Commission found that the existence of a contract is a "highly relevant" inquiry as to whether an entity is a regulated entity with respect to the allegations.

Once abandonment is established, MTL had no choice but to find a dealer who would cover outstanding storage. Docket Entry #60 contains evidence that MTL found such a dealer (Car Express) who in turn found its client, MEAA, to cover the storage charges.

The Initial Decision on page 20 determined that "The Commission does not have subject matter jurisdiction to determine whether New Jersey storage facility claiming nonpayment of storage fees not connected to an agreement to transport cargo by water between the United States and a foreign country, had a warehouse's lien under New Jersey law."

III. MTL DID NOT ACT UNREASONABLY WITH RESPECT TO THE COMPLAINANTS AND THE SUBJECT VEHICLES

It is not clear what practice by MTL the Complainants identify as unreasonable. MTL has made best efforts to reach out to Mr. Ostrovskiy. What was MTL supposed to do and how

long was MTL supposed to wait after Mr. Ostrovskiy disappeared and abandoned the subject property and other property all over Europe?

The email from Atlantic Cargo Logistics confirms that the Complainant, Mr. Ostrovskiy, was at MTL's office in November of 2012 (and not in June of 2013 as he claims in ¶107) where he received all paperwork in connection with the subject Mercedes. (*See* Exhibit "3").

Alla Solovyeva, in her Certification with accompanying exhibits, explains how Car Express became the USPPI after Complainants abandoned the vehicles. *See* Docket Entry 60, pages 7-9 and its Exhibit #2. It is submitted that such explanation is consisted with 15 CFR §30.3.

IV. THERE IS NO EVIDENCE THAT THE CONDUCT COMPLAINED OF AMOUNTS TO A PRACTICE BY MTL.

Likewise, Complainants cannot demonstrate how such practice is being done by MTL on a customary and continuous manner. As the Commission stated in the case that it relied on when the new interpretation was issued: *Stockton Elevators*: "The essence of practice is uniformity. It is something habitually performed and it implies continuity...the usual course of conduct."

This concept of "continuity" was already litigated in Federal Court, involving the same Complainants and property (1:13cv07110), when the Complainants here made allegations under the "RICO" statute as to the same property, namely the subject Mercedes & Porsche, that issue was resolved in MTL's favor and upheld on appeal (Docket No. 18-1197), therefore, it is being submitted that collateral estoppel applies in preventing relitigating the same issue in a different forum.

Collateral estoppel 'applies when (1) the issues in both proceedings are identical, (2) the issue in the prior proceeding was actually litigated and actually decided, (3) there was[a] full and

fair opportunity to litigate in the prior proceedings, and (4) the issue previously litigated was necessary to support a valid and final judgment on the merits.” *Epperson v. Entertainment Express, Inc.*, 242 F.3d 100, 108 (2d Cir. 2001).

It is being submitted that all of the above have been met with respect to the concept of “continuity”, which appears to be the same concept that is needed to prove in order to prevail under the Shipping Act when alleging a Section 41101(c) violation, under the final interpretive rule.

In the Order that was appealed in Federal Court by the Complainants here, the Court in *Mavl* stated: “Even under Plaintiff’s proposed re-pleading of the RICO claim, the entire scheme of which plaintiffs and the proposed new plaintiffs complain begins and ends with the misappropriation or withholding of certain property between 2009 and 2016, with the primary conduct as alleged taking place between January 2013 and August 2014.” (ECF #82).

Everything referenced in the current proceeding, relates to the same vehicles, part of an isolated transaction, where there are no pending or future contracts for repair, sale or shipping, and where the element of ‘continuity’ of conduct was already litigated in the matter the Complainants filed in Federal Court for the Eastern District of New York and the Second Circuit Court of Appeals, as stated above.

Even when counsel for Complainants tried to bring in another Plaintiff (Mr. Safonov) in the federal litigation, the Court said: “Even charitably construed, the ‘new evidence’ from Safonov permits Plaintiff to allege a few more predicate acts, some based on the same Mercedes transaction between MAVL and Defendants in 2013...” (ECF #82).

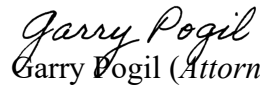
It is also noteworthy that the Court there went on to say: “Second, with respect to the ‘new evidence’ regarding Safonov’s dealings with Defendants, Plaintiffs also cannot

demonstrate that this evidence could not have been discovered in time with reasonable diligence.”

It is being submitted that it is MTL who was the victim of Mr. Ostrovskiy, not the other way around. As pointed out above, Mr. Ostrovskiy abandoned his property all over Europe, causing MTL to sustain money damages — he then sells the property that he does not have in his inventory to third parties, disappears, closes his companies, and then seeks reparations for allegedly converting his property that he abandoned. (*See* Docket Entry #60 and the accompanying exhibits).

Respectfully Submitted,

Dated: April 20, 2021


Garry Pogil (*Attorney for Marine Transport Logistics, Inc.*)